This process takes place under conditions of poor knowledge and hostile political economy. Formal rules that shift the process towards greater cogitation and rational analysis will produce better outcomes.

Pathways to less government intervention

The field of public policy has a tension at its core. We are exhilarated at understanding market failures, and setting up state machinery that makes everyone better off by addressing market failures. But we understand how badly the state works, under real-world conditions. We roll out state interventions with a heavy heart.

The state is an engine which is supposed to convert coercive power into human welfare. At its best, this results in the blossoming of poetry and science. But coercive power is all too easily abused, and the state is then an engine through which coercive power is used by a few to inflict harm.

A young soldier glorifies warfare, while a wise general knows that war is hell. We feel similarly about public policy. A young person who is not excited about doing good by addressing market failures has no heart. A grown-up who is not afraid of state intervention going horribly wrong has no brain. We should know how to set up the machinery of bureaucratic intervention into the economy, but we should always dread rolling this out.

The single-window chimera

Every now and then, we hear proposals in India to hold state coercion intact, and make life easier for private persons by setting up ‘single-window approval’. There are two problems with this approach.

First, we do not make the Gestapo nicer by setting up a pleasant front desk. Single-window systems do not solve the problem of state coercion, and the threat of raids and punishments including possibly criminal sanctions. Second, in the absence of deeper reform, it is hard to build